Marathas. An intense struggle for power was taking place at that time among the Marathas between the supporters of the infant Peshwa Madhav Rao II, led by Nana Phadnis, and Raghunath Rao. The British officials in Bombay decided to intervene on behalf of Raghunath Rao. They hoped thus to repeat the exploits of their countrymen in Madras and Bengal and reap the consequent monetary advantages. This involved them in a long war with the Marathas which lasted from 1775 to 1782.

This was a dark hour indeed for British power in India. All the Maratha chiefs were united behind the Peshwa and his chief minister, Nana Phadnis. The southern Indian powers had long been resenting the presence of the British among them, and Haidar Ali and the Nizam chose this moment to declare war against the Company. Thus the British were faced with the powerful combination of the Marathas, Mysore and Hyderabad. Abroad, they were waging a losing war in their colonies in America where the people had rebelled in 1776. They also had to counter the determined design of the French to exploit the difficulties of their old rival.

The British in India were, however, led at this time by the energetic, and experienced Governor-General Warren Hastings. He acted with firm resolve and determination. Neither side won victory and the war came to a standstill. Peace was concluded in 1782 with the Treaty of Salbai by which the status quo was maintained. It saved the British from the combined opposition of Indian powers.

This war, known in history as the First Anglo-Maratha war, did not end in victory for either side. But it did give the British 20 years of peace with the Marathas, the strongest Indian power of the day. The British utilised this period to consolidate their rule over the Bengal Presidency, while the Maratha chiefs frittered away their energy in bitter mutual squabbles. Moreover, the Treaty of Salbai enabled the British to exert pressure on Mysore, as the Marathas promised to help them in recovering their territories from Haidar Ali. Once again, the British had succeeded in dividing the Indian powers.